No. 18-0918

IN THE

Supreme Court of the United States

October Term, 2018

IN RE BACKSTREETS PLOWING, INC.,
Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE
Petitioner,
v.

MILTON WEINBERG
Respondent.

On Writ of Certiorari to the United States Court of Appeals for the Thirteenth Circuit

BRIEF FOR PETITIONER

Team 9P
Counsel for Petitioner

QUESTIONS PRESENTED

I. Under 11 U.S.C. § 362(a)(3), does a creditor violate the automatic stay when the creditor retains possession of property of the estate necessary for an effective reorganization after the debtor files a bankruptcy petition?

II. Under 11 U.S.C. § 503(b), can a court grant an administrative expense for a substantial contribution in a Chapter 7 proceeding despite the explicit language limiting substantial contributions to Chapters 9 and 11 only?

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The decision and orders for the U.S. Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit are unreported and therefore unavailable. The Bankruptcy Court and the Bankruptcy Appellate Panel answered both questions in favor of Milton Weinberg, the respondent in this present action. On appeal, the Thirteenth Circuit affirmed the Bankruptcy Court on both issues. The opinion for the Thirteenth Circuit is set forth in Case No. 17-0805, dated March 5, 2018, and is incorporated in the record on appeal (hereinafter, "R.").

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII

STATUTES INVOLVED

The relevant statutory provisions and bankruptcy rules of procedure involved in this case are listed below and reproduced in Appendices A, B, and C.

11 U.S.C. §§ 362, 363, 503, 542 (2012);

Fed. R. Bankr. P. 7001, 7003

Fed. R. Civ. P. 3

STATEMENT OF FACTS

I. Facts

This case concerns a disgruntled college football fan and creditor who exploited the equitable nature of the Bankruptcy Code in an attempt to solidify and better his potential distribution from the debtor's bankruptcy estate at the expense of the debtor and his remaining creditors. Backstreets' Plowing Incorporated ("the Debtor") operated a seasonal snow plow business, and, in an attempt to ensure his business remained competitive, Christopher Clemons, Backstreets' sole shareholder, set out to purchase newer snow plow trucks. R. at 3. The new trucks would be more fuel-efficient and would enable his company to compete for a valuable plowing contract with the City of Badlands, the place where the Debtor was headquartered. R. at 4. In order to purchase the trucks, Clemons approached Milton Weinberg, his acquaintance, about borrowing $ 450,000 to purchase the new trucks. Weinberg agreed and to secure repayment, the Debtor granted Weinberg a security interest in the trucks. *Id.* Pursuant to the terms of a promissory note, the Debtor agreed to make monthly payments once the plowing business started generating revenue. *Id.*

Soon after, the Debtor submitted a bid for the plowing contract with the city. *Id.* The Debtor's bid was far superior to the other two bids and thus the city council voted to award the contract to Backstreet. Sometime after the award of the contract, Clemons and Weinberg had a falling out over their mutual love of college football. Weinberg, an alumnus of Moot State University, invited Clemons, an alumnus of the University of Moot, to attend the annual "big game" between the two teams *Id.* However, after Clemons' team beat Moot State, Weinberg and Clemons got into a heated argument about whose football program was better. *Id.* The two did not speak again for some time. *Id.* at 5.

The winter of 2015–2016 was mild, which proved profitable for the Debtor because the City paid it a flat rate. *Id.* Following a few missed payments, Weinberg drove to the Debtor's facility in February 2016 where an argument ensued. *Id.* Weinberg threatened Clemons and told him to "lawyer up" before filing suit on the promissory note against both Clemons and the Debtor. *Id*. In October 2016, Weinberg obtained a default judgment but did not immediately take action to collect. *Id.*

The following winter was particularly bad for the Debtor's business. R. at 6. The heavy snowfall resulted in substantial losses and the monthly payments from the City were not enough to cover the business's labor, maintenance and fuel costs. Furthermore, Weinberg began efforts to collect on his judgment in January 2017. *Id.* Weinberg hired a repossession company, E Street Auto Recovery, to retrieve the snow plows. *Id.* E Street repossessed the trucks from the Debtor's parking lot in late January 2017 and delivered the trucks to a warehouse owned and operated by Weinberg. *Id.* Without the snow plows, the Debtor was unable to continue operating his snow plow business. Running out of cash and missing the sole piece of equipment necessary to enable his company to operate, the Debtor filed a Chapter 11 petition on February 4, 2017. *Id.* Soon after, the Debtor's attorneys sent Weinberg a letter demanding the snow plows be returned. *Id.* It is not disputed that the snow plows constitute property of the bankruptcy estate. *Id.* Weinberg refused and argued that the Debtor had the burden of bringing a turnover action. *Id.* Upon Weinberg's refusal, the Debtor filed a motion asking the bankruptcy court to determine that Weinberg's retention of the vehicles constituted a violation of the automatic stay. *Id.* The court found for Weinberg and the Debtor timely appealed. *Id.*

After filing the appeal, Clemons voluntarily converted the case to a Chapter 7 because he concluded that efforts to reorganize the business would be futile. R. at 7. Steven Vin Sant was

appointed as the trustee (hereinafter "the Trustee") to administer the estate and liquidate its property. *Id.* After conversion, Weinberg decided to hire a collections firm to take a creditors' examination of Clemons. *Id.* Through that examination, Weinberg discovered that the Debtor made transfers directly to Clemons' daughter. *Id.* He voluntarily provided the Trustee with the documentation allowing the Trustee to file a complaint against Clemons' daughter to avoid and recover the transfers. *Id.* Weinberg incurred $25,000 in legal fees and after the bankruptcy court approved the fraudulent transfer settlement, he filed a motion seeking an administrative expense for substantial contribution. *Id.* It is not disputed that Weinberg's actions constituted a substantial contribution.

In September 2017, the Trustee attempted to sell the Debtor's assets to another company. R. at 8. However, the offer to purchase the assets fell through after Weinberg refused to return the snow plow trucks. *Id.* After negotiations failed, the Trustee continued prosecution of the appeal regarding Weinberg's alleged violation of the automatic stay. *Id.* With Tenth Avenue no longer purchasing the assets, another company offered $100,000 less to purchase the remaining assets excluding the snow plows. *Id.* at 9. The Trustee accepted, and the bankruptcy court approved the sale. *Id.* After the approval, the Trustee continued his appeal seeking to recover damages for the violation of the automatic stay and to prevent the administrative expense claim. *Id.*

II. Procedural History

The bankruptcy court considered both disputes brought by Steven Vin Sant, the Chapter 7 Trustee, against Milton Weinberg and held that Weinberg's retention of the snow plow trucks that he legally repossessed prior to the bankruptcy filing did not violate § 363(a)(3) and that he was entitled to a substantial contribution administrative expense under § 503(b), notwithstanding

the express limitation in § 503(b)(3)(D). R. at 3. On appeal, the Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed both issues in favor of Weinberg. *Id.* This Court then granted the Trustee's petition for writ of certiorari. *Id.* at 1.

STANDARD OF REVIEW

The facts set forth in this appeal are not disputed; the only issues for the court are disputes of law. A court's conclusions of law are subject to a *de novo* standard of review. *See Highmark Inc. v. Allcare Health Management System, Inc.*, 572 U.S. 559, 563 (2014).

SUMMARY OF THE ARGUMENT

A creditor's post-petition retention of property of the estate violates the automatic stay. The Bankruptcy Code's plain language demonstrates that a creditor exercises control over property of the estate in violation of the automatic stay because the creditor retains authority over the property and fails to fulfill a mandatory, statutory duty through its post-petition retention of property of the estate. In combination with its exercise of control, the creditor violates the automatic stay through post-petition acts because the act of retaining property of the estate and restricting access to such property is a continuing event to exercise authority over property of the estate. Furthermore, the Bankruptcy Code's legislative history supports the interpretation that a creditor's post-petition retention of property of the estate violates the automatic stay because Congress amended the Bankruptcy Code to broaden the automatic stay's reach beyond merely restricting a creditor from attempting to obtain property of the estate. Finally, an interpretation that a creditor's post-petition retention of property of the estate violates the automatic stay best serves the Bankruptcy Code's objectives because it returns assets vital to the debtor's reorganization, relieves some of the debtor's financial strain, and groups all property into one

estate. Thus, this Court should reverse the Thirteenth Circuit's decision because a creditor's post-petition retention of property of the estate violates the automatic stay.

Section 503(b)(3)(D) does not permit a court to grant an administrative expense for substantial contributions in a Chapter 7 proceeding. First, the plain meaning of the statutory language demonstrates that substantial contribution administrative expenses are only permitted in Chapters 9 and 11 proceedings. The statute's express mention of Chapters 9 and 11 implies the exclusion of Chapter 7 and to hold otherwise would render that phrase mere surplusage. Also, the presumption that claims for administrative expenses be strictly construed confirms the narrow interpretation. Finally, even if this Court finds that the statutory language is ambiguous, the statute's legislative history shows that in all other versions of this subsection, Chapter 7 was never included. Additionally, the statute's purpose and the policies of the Bankruptcy Code support the conclusion that Congress intentionally omitted administrative expenses for substantial contributions in Chapter 7 cases.

ARGUMENT

I. THE THIRTEENTH CIRCUIT INCORRECTLY DETERMINED THAT WEINBERG DID NOT VIOLATE 11 U.S.C. § 362(a)(3) BECAUSE RETAINING POSSESSION OF PROPERTY OF THE ESTATE AFTER A DEBTOR FILES FOR BANKRUPTCY VIOLATES THE AUTOMATIC STAY

Immediately upon a debtor's petition for bankruptcy, § 362(a) of the Bankruptcy Code imposes an automatic stay that prevents creditors from taking certain actions against the debtor and property of the estate during the debtor's bankruptcy case. 11 U.S.C. § 362(a). Through the automatic stay, subsection 362(a)(3) prevents "any act to obtain possession of property of the estate . . . or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3).

The issue before this Court is whether a creditor violates the automatic stay of § 362(a) when the creditor, post-petition, retains property of the estate repossessed from the debtor prior to the

debtor's petition for bankruptcy. When interpreting the language of § 362(a)(3), the overwhelming majority of courts have expressly held that a creditor unlawfully exercises control over property of the estate, and thus violates the automatic stay of § 362(a)(3), when the creditor, post-petition, retains property of the estate repossessed from the debtor prior to the debtor's petition for bankruptcy. *See e.g.*, *Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699 (7th Cir. 2009); *Rozier v. Motors Acceptance Corp. (In re Rozier)*, 376 F.3d 1323 (11th Cir. 2004); *Transouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676 (B.A.P. 6th Cir. 1999); *Weber v. SEFCU (In re Weber)*, 719 F.3d 72 (2nd Cir. 2013); *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773 (8th Cir. 1989); *Cal. Emp't Dev. Dep't v. Taxel (In re Del Mission)*, 98 F.3d 1147 (9th Cir. 1996); *STMIMA Corp. v. Carigg (In re Carigg)*, 216 B.R. 303 (B.A.P. 1st Cir. 1998).

This Court should reverse the Thirteenth Circuit's holding for three reasons. First, the plain language of § 362(a)(3), as well as the Bankruptcy Code in general, demonstrates that a creditor violates the automatic stay when the creditor fails to return property of the estate in its possession upon the debtor's petition for bankruptcy. Furthermore, the legislative history of the Bankruptcy Code confirms Congress's intent to apply the automatic stay to prevent a creditor from retaining property of the estate after the debtor has petitioned for bankruptcy. Finally, holding that a creditor violates the automatic stay when it retains possession of property of the estate is the best option to fulfill the purpose of the Bankruptcy Code.

A. <u>The plain meaning of sections 362(a)(3), 542(a), and 363(e) demonstrates that a creditor's failure to fulfill its duty to return property of the estate after the debtor petitions for bankruptcy is a violation of the automatic stay</u>

The Court must begin its interpretation of a statute by examining the language of the statute itself. *Consumer Prod. Safety Comm'n v. GIE Sylvania Inc.*, 447 U.S. 102, 108 (1980).

Where the statutory language is plan and unambiguous, the Court must enforce the statute according to its plain meaning. *Robinson v. Shell Oil Co.*, 519 U.S. 337, 340 (1997). When examining the statutory language at issue, the Court must presume that Congress means what it says and does not hide any secret language or meaning within a statute's constructs. *See Whitman v. Am. Trucking Ass'n*, 531 U.S. 457, 468 (2001). The Bankruptcy Code's plain language demonstrates that a creditor's retention of property of the estate after a debtor has petitioned for bankruptcy violates the automatic stay in two ways. First, sections 362(a)(3), 542(a), and 363(e) demonstrate that a creditor's retention of property of the estate is an unlawful "exercise of control" over property of the estate. Second, § 362(a)(3)'s broad language demonstrates that even the passive retention of property of the estate includes definitive post-petition acts that violate the automatic stay.

1. *The Bankruptcy Code's plain language demonstrates that a creditor makes an unlawful exercise of control in violation of the automatic stay when the creditor retains property of the estate after a debtor petitions for bankruptcy*

The best evidence of congressional intent relating to a statutory provision is the plain meaning of the statutory language. *United States v. Am. Trucking Ass'n*, 310 U.S. 534, 543 (1940). The Court must provide independent meaning and effect to each statutory term. *See Reiter v. Sonotone Corp.*, 442 U.S. 330, 339 (1979). If Congress leaves a statutory term undefined, then the Court must give the term its ordinary meaning, which the Court can determine based on the term's dictionary definition. *United States v. LaBonte*, 520 U.S. 751, 757 (1997). Furthermore, the Court must interpret a statutory provision to act in harmony with all other surrounding statutory provisions. *Robinson*, 519 U.S. at 340. When Congress uses the term "shall" in a statutory scheme, such a term indicates a mandatory duty. *See Kingdomware Techs., Inc. v. United States*, 136 S. Ct. 1969, 1977 (2016).

The ordinary meaning of § 362(a)(3)'s "to exercise control" confirms that the automatic stay applies to a creditor's post-petition retention of property of the estate. The ordinary meaning of "to exercise control" is to have "restraining or directing influence over . . . [or] to have power over." *See* MERRIAM-WEBSTER'S COLLEGIATE DICTIONARY (11th Ed. 2003). A creditor uses a restraining and directing influence through its passive post-petition retention of property of the estate because it has the ultimate power over the property to determine who gets to use the property, when a party may use the property, and how the party may use the property. *See Thompson*, 566 F.3d at 702 (determining that "[h]olding onto an asset, refusing to return it, and otherwise prohibiting a debtor's beneficial use of an asset all fit within this definition"). With its ordinary meaning, "to exercise control" does not require any affirmative acts on the creditor's part, but rather only requires the creditor to be in a position in which it has authority over the property and can dictate the property's accessibility. *See Weber*, 719 F.3d at 79. Furthermore, because each statutory term must have independent meaning and effect, "to exercise" must mean to have authority over rather than to gain because "gain" is essentially a synonym for "obtain." *See Rutherford v. Auto Cash, Inc. (In re Rutherford)*, 329 B.R. 886, 895 (Bankr. N.D. Ga. 2005). If "to exercise" simply means "to gain," as minority courts have held, then "to exercise" loses all independent meaning because "the statute already prohibited acts to 'obtain' property of the estate." *Id.* "To exercise" must have an independent meaning from "to obtain;" thus, using the term's ordinary meaning, which is to have power or authority over, provides the requisite independent meaning. *Id.* Therefore, to ensure that each statutory term has independent meaning and to honor the statute's ordinary meaning, a creditor's post-petition retention of property of the estate must violate the automatic stay's prohibition on a post-petition exercise of control over

property because the creditor maintains its authority and power over the property by retaining possession.

In combination with § 362(a)(3)'s ordinary meaning, § 542(a)'s plain language demonstrates that a creditor has an affirmative duty to return any property of the estate in its possession upon a debtor's petition for bankruptcy and a violation of such duty is an unlawful exercise of control under § 362(a)(3). Section 542(a) provides that any entity that has possession of property of the estate "shall deliver to the trustee, and account for, such property." 11 U.S.C. § 542(a). Section 542(a) does not contain any language limiting the duty imposed by Congress's use of the term "shall." *Id.*; *see e.g., Knaus*, 889 F.2d at 775. This Court has previously stated that § 542(a) unequivocally requires an entity in possession of property of the estate to deliver such property to the trustee because Congress's use of "shall" in § 542(a) imposes a mandatory duty on the possessing entity to return the property to the trustee or estate. *See United States v. Whiting Pools*, 462 U.S. 198, 202–03 (1983). Although there are certain exceptions described in § 542(a)—such as when the property is of inconsequential value or benefit to the estate—this Court has determined that the bankruptcy court alone has the power to determine when such exceptions apply. *Id.* at 204. Thus, even if property is of inconsequential value or benefit to the estate, the creditor has an affirmative duty to return the property upon the debtor's petition for bankruptcy and allow the bankruptcy court ultimately to determine the property's value. *See Rutherford*, 329 B.R. at 895. A creditor's failure to fulfill this affirmative duty "constitutes a prohibited attempt to 'exercise control over the property of the estate' in violation of the automatic stay" because a failure to comply with the mandatory duty represents the creditor's unlawful control over the property. *See Knaus* 889 F.2d at 775. Thus, because § 542(a) imposes a mandatory duty upon a creditor to return any property of the estate in its possession, a creditor

exercises unlawful control over the property and violates the automatic stay by failing to fulfill its duty and retaining its post-petition possession of such property.

Furthermore, the plain language of § 363(e) demonstrates that a creditor cannot avoid the requirements of sections 362(a)(3) and 542(a) in an attempt to obtain adequate protection. Section 363(e) states that a creditor may receive adequate protection from the court relating to property of the estate only "on request of [the] entity that has an interest in property" of the estate. 11 U.S.C. § 363(e). This subsection demonstrates that a creditor may only receive adequate protection of its interests from the bankruptcy court and only after the creditor has provided a request for such protection. *See Weber*, 719 F.3d at 81 (demonstrating that while § 542(a)'s language is self-executing through the use of "shall," § 363(e) is not self-executing because it requires the creditor to make a "request" to the bankruptcy court before becoming eligible for adequate protection). A creditor therefore has no right to retain post-petition possession of property of the estate until it receives adequate protection because, as shown above, § 542(a) and the automatic stay are self-executing upon a debtor's bankruptcy petition. *See Thompson*, 566 F.3d at 704. Thus, a creditor may only receive adequate protection after a request to the bankruptcy court after the debtor petitions for bankruptcy. *Id.* Although a creditor faces some risk in returning property to the estate without adequate protection, sections 362(d) and 362(f) provide ample protection for the creditor's interests because the creditor can immediately file a motion for adequate protection, temporary relief from the automatic stay, an emergency hearing regarding adequate protection, or *ex parte* relief. *See Stephens v. Guaranteed Auto, Inc. (In re Stephens)*, 495 B.R. 608, 614 (Bankr. N.D. Ga. 2013). Thus, because § 363(e)'s plain language requires the creditor to first request adequate protection from the bankruptcy court and the Bankruptcy Code provides ample protection for the creditor, a creditor may not

avoid the duty and penalties imposed by § 542(a) and the automatic stay in an attempt to receive adequate protection.

Finally, the plain language of Federal Rules of Bankruptcy Procedure indicates that a turnover complaint is not a prerequisite to finding that a creditor violated the automatic stay through its post-petition retention of property of the estate. The Federal Rules of Bankruptcy Procedure state that "a proceeding to recover money or property" is an adversary proceeding, which requires the filing of a complaint to commence such a proceeding. *See* Fed. R. Bankr. P. 7001; Fed. R. Bankr. P. 7003; Fed. R. Civ. P. 3. Although the Federal Rules of Bankruptcy Procedure require the debtor to file a complaint to receive a turnover order, the rules do not require a debtor to file a complaint to recover for a violation of the automatic stay. *See In re Gerwer*, 898 F.2d 730, 734 (9th Cir. 1990).

Additionally, § 542(a) does not require a debtor to file a complaint for the return of property of the estate because § 542(a) is self-executing and does not involve a proceeding—a prerequisite for Rule 7001 and 7003 to apply. *Id.* Rule 7001 and 7003 require the debtor to file a complaint when the debtor actually seeks the court to force the return of property of the estate, not when the debtor is simply seeking to recover for a violation of the automatic stay. Furthermore, even if Rule 7001 and 7003 require the debtor to file a complaint when seeking to recover for a violation of the automatic stay, courts have found that a motion satisfies the complaint requirement of the Federal Rules of Bankruptcy Procedure because a creditor does not suffer harm as a result of the filing of a motion rather than a complaint. *See generally Beem v. Ferguson*, 713 Fed. Appx. 974 (11th Cir. 2018); *see also Reed v. Nathan*, 558 B.R. 800 (Bankr. E.D. Mich. 2016) (reasoning that a motion accomplishes the same objective as a complaint because it provides fair notice of the claim and its grounds). Thus, the plain language of the

Federal Rules of Bankruptcy Procedure does not require a debtor to file a complaint to recover for a violation of the automatic stay.

Therefore, the plain language of the Bankruptcy Code and the Federal Rules of Bankruptcy Procedure demonstrates that a creditor violates the automatic stay by retaining property of the estate after the debtor has petitioned for bankruptcy.

2. *In combination with the Bankruptcy Code's plain language of "to exercise control," § 362(a)(3)'s use of the phrase "any act" demonstrates that even a creditor's passive retention of property of the estate constitutes a violation of the automatic stay*

When interpreting statutes, the Court must first "look to the particular statutory language at issue." *K Mart Corp. v. Cartier, Inc.*, 418 U.S. 281, 291 (1988). In doing so, the Court must seek to give each statutory term meaning and effect. *See Reiter*, 442 U.S. at 339. When Congress fails to define a statutory term, the Court must construe a nontechnical term "in accord with its ordinary or natural meaning." *See Smith v. United States*, 508 U.S. 223, 228 (1993); *LaBonte*, 520 U.S. at 757 (demonstrating that the Court discerns a term's ordinary meaning through the term's dictionary definition). Furthermore, unless indicated otherwise, the Court should typically construe a general term in accord with its general meaning. *See Rapanos v. United States*, 547 U.S. 715, 732 (2006); *see also* Antonin Scalia and Bryan A. Garner, *Reading Law* 101 (2012). The words surrounding the statutory term at issue also provide context relating to the term's ordinary meaning. *See Robinson*, 519 U.S. at 340.

The inclusion of the broad, general term "act" in § 362(a)(3) demonstrates that the automatic stay applies to all acts directed to exercise control over property of the estate, including the passive act of retaining property of the estate. Because "act" is a general term, the Court should construe "act" in accord with its general meaning. *See Rapanos*, 547 U.S. at 732. The general meaning of the term "act" is "the process of doing something." BLACK'S LAW

DICTIONARY 27 (9th ed. 2009). The "process of doing something" implicates an ongoing, continuous event that started with a definite action. *See In re Peake*, 588 B.R. 811, 828 (Bankr. N.D. Ill. 2018). Passive retention of property of the estate, in which the creditor prevents the debtor from having access to the property, is essentially an example of the "process of doing something" and thus constitutes a requisite "act" as defined by Black's Law Dictionary. *Id.* The creditor begins the "process of doing something" through the prepetition repossession of the property in question, which starts the continuous event of preventing the debtor from accessing the property in question. *Id.* By continually preventing the debtor from having access to the property in question, the creditor is "doing something." *Id.*; *see also* Hon. Eugene R. Wedoff, *The Automatic Stay Under § 362(a)(3) - One More Time*, 39 BANKR. L. LETTER 7, July 2018, at 1 (reasoning that, even though the creditor did not necessarily perform a definite post-petition act, a creditor "does something" through its "ongoing, continuing exercise of control" over property of the estate). Because the general meaning of act covers a broad continuous event, the creditor's post-petition retention of property of the estate qualifies as a continuous event "doing something" spanning both the time before and after the debtor petitions for bankruptcy; thus, constituting an act under § 362(a)(3).

Even if the Court construes "any act" to have a more restrictive, specific definition that requires some post-petition act by the creditor, the simple retention of property of the estate, by its very nature, requires the creditor to take overt, definitive post-petition acts to maintain its dominion over the property in question. A more restrictive definition of "act" is simply a "deed." *See In re Peake*, 588 B.R. at 828. Under this definition, a creditor must take some definitive post-petition action directed at property of the estate to violate the automatic stay. *See e.g., id.*; *United States v. Inslaw, Inc.,* 932, F.2d 1467, 1474 (D.C. Cir. 1991) (holding that "the stay applies only

to acts taken *after* the petition is filed"). Even assuming that this definition of "act" applies, it is highly unlikely that a creditor's post-petition retention of property of the estate is completely void of any definitive act directed towards retaining the creditor's dominion over the property. To ensure that it retains possession, and thus control, over the property, the creditor continually pays to house the property, guards the property, locks the property away, and performs various other definitive post-petition actions directed towards the repossessed property of the estate. *See Brown v. Town & Country Sales & Serv., Inc. (In re Brown)*, 237 B.R. 316, 320 (Bankr. E.D. Va. 1999); *Hampton v. Yam's Choice Plus Autos, Inc. (In re Hampton)*, 319 B.R. 163, 172 (Bankr. E.D. Ark. 2005) (holding that the creditor committed a definitive post-petition act of control in violation of the automatic stay when it gave the debtor an incorrect code with which the debtor attempted to use to unlock her repossessed vehicle). These are all overt acts that occur post-petition for the sole purpose of maintaining the creditor's continued possession and control of the repossessed property of the estate. Although it is possible that a creditor could repossess property and never perform another definitive act directed towards maintaining its possession of the property, it is unrealistic to believe that a creditor will do so because the failure to perform these kinds of acts presents the risk that the property will suffer damage or that the creditor will lose possession of the property. Furthermore, although a minority of courts argues that this interpretation of "act" will prevent the creditor from performing any act to protect its interest in property of the estate, such as a post-petition request for the court to provide adequate protection, the automatic stay "cannot stay actions specifically authorized elsewhere in the bankruptcy code;" thus, the creditor retains a multitude of options with which to protect its interest in property of the estate, including the ability to request adequate protection. *See Inslaw, Inc.*, 932 F.2d at 1474. Even if "any act" in § 362(a)(3) requires a definitive post-petition act direct

towards property of the estate, a creditor's post-petition retention of the property will almost assuredly consist of such an act.

Finally, Congress's decision to include "any" before "act" in § 362(a)(3) demonstrates that the automatic stay applies to an expansive amount of conduct. Because the Court must seek to provide each statutory term meaning and effect, the term "any" must modify the term "act" in § 362(a)(3) to apply the automatic stay to a broad range of creditor actions. Congress knows how to restrict the application of statutory language, yet it did not include a qualifier or any other type of prior limiting language that would restrict the meaning of "act." *See In re Peake*, 588 B.R. at 832; *see generally Kingdomware Techs., Inc.* at 1976–77 (2016) (determining that Congress acts intentionally when including and excluding language from statutes). To create the clear restriction suggested by the Thirteenth Circuit majority, Congress easily could have included language that would modify the types of actions to which the automatic stay applies; however, Congress refrained. *See In re Peake*, 588 B.R. at 832 (demonstrating that Congress included specific language limiting the term "act" in § 362(b)(3) and failed to do so in § 362(a)(3)). Rather than including restrictive language prior to the term "act," Congress intentionally included the term "any" before "act," which demonstrates an intent to proscribe actions regardless of the materiality or size of such acts. *Id.* Thus, Congress's inclusion of the modifier "any" and exclusion of restrictive language before "act" indicates that the proper reading of § 362(a)(3) "give[s] the term 'act' its broadest meaning." *Id.*

B. Alternatively, the legislative history of the Bankruptcy Code and § 362(a)(3) demonstrates that Congress intended the automatic stay to apply to a creditor's passive retention of property of the estate

If the language of a statute is ambiguous, the Court may use legislative history as an aid to discern congressional intent. *See Exxon Mobil Corp. v. Allapattah Serv., Inc.*, 545 U.S. 546, 568 (2005). The context provided by legislative history is a guide to clarify the law and help the

Court determine the proper interpretation of a statute. *See Garcia v. United States*, 469 U.S. 70, 76 (1984). In examining the legislative history of a statute, the Court may identify congressional intent through a review of amendments to the statute, committee reports, and house reports. *See Church of the Holy Trinity v. United States*, 143 U.S. 457, 464 (1892). When Congress amends a statutory provision, the Court must presume the change in statutory language creates a subsequent change in statutory meaning. *Gross v. FBL Fin. Serv., Inc.*, 557 U.S. 167, 174–75 (2009).

As set out above, the plain language of the Bankruptcy Code demonstrates that a creditor's retention of property of the estate after a debtor has petitioned for bankruptcy violates the automatic stay. However, even if the Court finds the statutory language ambiguous, the legislative history of the Bankruptcy Code reveals that Congress intended to apply the automatic stay to a creditor's post-petition passive retention of property of the estate.

The Bankruptcy Amendments and Federal Judgeship Act of 1984 illustrates that Congress intended to proscribe a large amount of creditor conduct through the application of the automatic stay. Prior to 1984, § 362(a)(3) only operated as a stay on a post-petition attempt by the creditor to obtain possession of property of the estate. *See Transouth Fin. Corp.*, 234 B.R. at 682. In 1984, Congress amended § 362(a)(3) to include the phrase "or to exercise control over property of the estate." *See* The Bankruptcy Amendments and Federal Judgeship Act of 1984, Pub. L. No. 98-353, 98 Stat. 333, 371 (1984). Although Congress did not provide any explanation relating to the 1984 amendment, it is clear that Congress intended to increase the scope of the automatic stay beyond a creditor's possession of property of the estate because acts "to obtain possession" no longer represented the outer limits of § 362(a)(3)'s reach. *See Thompson*, 566 F.3d at 702 (reasoning that an exercise of control includes many more actions

than a simple attempt to obtain possession). With the 1984 amendment, Congress arguably broadened the concept of possession to include intangible property rights and "to include conduct by creditors who seized an asset prepetition." *Id.*; *see also Transouth Fin. Corp.*, 234 B.R. at 682. Because a statutory amendment creates the presumption that Congress also changed the statute's meaning, the 1984 amendment signifies a shift from the prior regime in which the automatic stay only prevented post-petition acts to gain dominion over property of the estate. *See Thompson*, 566 F.3d at 702. An interpretation that only expands the automatic stay to include a creditor's post-petition attempt to gain dominion over intangible property rights does not accurately reflect the shift signified by the sweeping language of the 1984 amendment. *Id.* Such an interpretation would essentially replace the broad word "exercise" with the restrictive word "gain." *Id.* (indicating that such a restricted interpretation would not give effect to the 1984 amendment and would essentially maintain the status quo regarding § 362(a)(3)). Thus, even though Congress did not provide a clear explanation relating to the 1984 amendment's expansion of the automatic stay, the fact that an amendment signifies a parallel shift in statutory meaning demonstrates that Congress clearly intended to increase drastically the protections provided by the automatic stay through the 1984 amendment.

Although Congress did not provide an explanation relating to the 1984 amendment, upon reading the amendment in congruence with the overall legislative history of the automatic stay, it is clear that Congress intended the automatic stay to apply to the post-petition passive retention of property of the estate. Congress intended the automatic stay to be the fundamental protection provided to all debtors by the Bankruptcy Code. *See* H.R. Rep. No. 95-595, at 340 (1978), *reprinted in* 1978 U.S.C.C.A.N. 5787, 6296. Because the automatic stay is the fundamental protection for debtors, Congress intended the stay's scope to be sweeping and broad. *Id.* (the stay

"stops all collection efforts, all harassment, and all foreclosure actions . . . [and] permits the debtor to attempt a repayment or reorganization plan, or simply to be relieved of the financial pressures that drove him into bankruptcy."). If the automatic stay does not protect debtors from a creditor's post-petition retention of property of the estate, then the automatic stay falls short of Congress's stated intent regarding the stay as the fundamental protection. *See Knaus*, 889 F.2d at 774–75. Debtors must have access to their assets to complete an effective reorganization and obtain the relief provided by the Bankruptcy Code. *See Cal. Emp't Dev. Dep't*, 98 F.3d at 1151. A creditor's post-petition retention of property of the estate prevents "the debtor from continuing his business with all his available assets" and provides a significant impediment to the debtor's ability to reorganize and obtain relief as the debtor does not have the assets to do so. *See Knaus*, 889 F.2d at 775; *see e.g., In re Jackson*, 251 B.R. 597 (Bankr. D. Utah 2000). This is especially true in this instance where Weinberg's continuous retention of the snow plow trucks made reorganization and continuity of the debtor's business impossible. Although the Thirteenth Circuit's ruling allows a debtor to seek the return of property through a turnover proceeding, the time it takes for a court to rule on such an issue places extraordinary financial strain on the debtor and drastically decreases the debtor's ability to reorganize. *See Cal. Emp't Dev. Dep't*, 98 F.3d at 1151. The only way to ensure that a debtor's reorganization has the highest chance of success is through the debtor's ability to use its assets to maintain operations "during the pendency of the petition and formulation of the plan." *Weber*, 719 F.3d at 78. Thus, to effectuate Congress's stated intent that the automatic stay constitute a debtor's fundamental protection, in which its broad scope alleviates financial strain and allows an effective reorganization, the automatic stay must apply to a creditor's post-petition retention of property of the estate.

C. A determination that a creditor's post-petition retention of property of the estate violates the automatic stay best fulfills the Bankruptcy Code's goals

The overall goal and objective of a statute provide one of the best guides in determining the meaning of a statute. *See United States v. Congress of Indus. Org.*, 335 U.S. 106, 112–13 (1948). The objective of the statute provides a strong factor to help determine congressional intent. *Id.*

Applying the automatic stay to a creditor's post-petition retention of property of the estate best serves the objective of the automatic stay because it relieves some of the financial strains placed on the debtor. One of the automatic stay's main objectives is to "alleviate the financial strains on the debtor." *Cal. Emp't Dev.Dep't*, 98 F.3d at 1151. The automatic stay serves this objective by providing temporary relief from the debtor's large financial deficit and the costs associated with the debtor's estate. *See Javens v. City of Hazel Park (In re Javens)*, 107 F.3d 359, 363 (6th Cir. 1997). However, the automatic stay would no longer serve this objective if a creditor could retain property of the estate after the debtor's petition for bankruptcy because it would impose a large cost on the debtor. *See Weber*, 719 F.3d at 80. If the automatic stay did not impose a penalty on the creditor's post-petition retention of property of the estate, then it would incentivize creditors to hold such property until the debtor initiated a turnover proceeding because the creditors would not face any cost for doing so. *Id.* With creditors forcing debtors to initiate turnover proceedings to recover property of the estate, the debtor must first bear "the burden of undertaking a series of adversary proceedings to pull together the bankruptcy estate" before it can even begin its reorganization. *Id.* Each proceeding presents additional costs and financial strain to the debtor. *Id.*; *Transouth Fin. Corp.*, 234 B.R. at 686 (holding that it was not Congress's intent that the debtor "absorb the expense of potentially multiple turnover actions"). Thus, under the Thirteenth Circuit's holding, the automatic stay actually adds more financial strain to the debtor, rather than accomplishing its purpose of alleviating the debtor's financial

strain because it requires the debtor to bear additional financial deficits to pay for the requisite turnover proceedings. *See Weber*, 719 F.3d at 80. The best way to achieve the automatic stay's objective of alleviating financial strain on the debtor is to impose the automatic stay's penalty on creditors retained property of the estate after the debtor petitioned for bankruptcy, rather than forcing the debtor to bear the expense of filing a multitude of turnover proceedings.

Furthermore, using the automatic stay to prevent a creditor's post-petition retention of property of the estate fulfills the primary objective of reorganization bankruptcy in that it groups all of the debtor's property together in one estate, which maintains the court's ultimate authority over the bankruptcy proceedings as well. Congress's main objective for the Bankruptcy Code "is to group *all* of the debtor's property together in his estate such that he may . . . pay off his debts." *Thompson*, 566 F.3d at 702. If the automatic stay applies to a creditor's post-petition retention of property of the estate, then the automatic stay accomplishes this objective because it pools all of the property of the estate in one place by ensuring that creditors return all of the debtor's property to the court's domain. *See Weber*, 719 F.3d at 80. Additionally, this allows the bankruptcy court to maintain its primacy in the bankruptcy proceeding as all property of the estate remains under its domain rather than allowing creditors to "unilaterally condition the return of the property" based on their own determinations. *Transouth Fin. Corp.*, 234 B.R. at 686. In contrast, if the automatic stay did not provide an incentive for a creditor to return property of the estate upon a debtor's petition, then the property of the estate would be spread out amongst a variety of creditors and the estate. *See Thompson*, 566 F.3d at 702. This creates the exact scenario that Congress intended the automatic stay to prevent: "the estate will be deprived of possession of that property" and such property will not be grouped together in one place. *See Unified People's Fed. Credit Union v. Yates (In re Yates)*, 332 B.R. 1, 5 (B.A.P. 10th Cir. 2005).

Thus, the best way to maintain the bankruptcy court's power and group all property of the estate in one place is to provide an incentive, through the automatic stay's penalties, that ensures creditors will return all repossessed property of the estate to the bankruptcy court's domain.

In sum, this Court should hold that a creditor's post-petition retention of property of the estate violates the automatic stay because the Bankruptcy Code's plain language, legislative history, and overall objectives support such a holding.

II. THE THIRTEENTH CIRCUIT IMPROPERLY AWARDED WEINBERG AN ADMINISTRATIVE EXPENSE UNDER 11 U.S.C. § 503(B)(3)(D) FOR SUBSTANTIAL CONTRIBUTION IN A CHAPTER 7 CASE

Section 503 of the Bankruptcy Code authorizes the court to award administrative expenses under several different sets of circumstances. 11 U.S.C. § 503. Subsection 503(b)(3)(D) states the court shall allow administrative expenses for "the actual, necessary expenses . . . incurred by . . . a creditor . . . in making a substantial contribution in a case under [C]hapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D).

The issue before this Court is whether a court can administrative expenses for substantial contributions in Chapter 7 proceedings even though the plain language of the statute expressly limits this type of expense to Chapters 9 and 11 only. When interpreting the specific language of § 503(b)(3)(D) regarding substantial contributions in Chapter 7 proceedings, the overwhelming majority of courts have expressly held that substantial contributions in a Chapter 7 proceeding do not qualify as administrative expenses under § 503(b)(3)(D). *See, e.g.*, *Peterson v. Farm Credit Bank of Omaha (In re Peterson)*, 152 B.R. 612, 614 (D.S.D. 1993); *In re Beck Rumbaugh Assocs. Inc.*, 84 B.R. 369, 371 (E.D. Pa. 1988); *In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013); *In re Hackney*, 351 B.R. 179, 200–05 (Bankr. N.D. Ala. 2006); *In re Hall*, 373 B.R. 788, 800 (Bankr. S.D. Ga. 2006); *In re Schachter*, 228 B.R. 359, 362 (Bankr. E.D. Pa. 1999).

This Court should reverse the Thirteenth Circuit and find that § 503(b)(3)(D)'s language expressly limits administrative expenses for substantial contribution to Chapters 9 and 11, thus precluding the award of those expenses to a creditor in a Chapter 7 case. Section 503(b)(3)(D) does not allow substantial contribution claims in Chapter 7 cases for two reasons. First, the plain language of § 503(b)(3)(D)'s narrow language prohibits a court from awarding administrative expenses for substantial contributions in Chapter 7 cases. Further, the legislative history, the statute's purpose, and the policies behind the Bankruptcy Code confirm that Congress intentionally limited substantial contribution claims to Chapters 9 and 11 only, thereby excluding Chapter 7.

A. The plain meaning of § 503(b)(3)(D) precludes a court from awarding an administrative expense for substantial contributions in Chapter 7 cases.

When interpreting statutes, the judiciary's duty is "to interpret the Code clearly and predictably using well established principles of statutory construction." *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 132 S. Ct. 2065, 2073 (2012). The fundamental rule of statutory construction is that the interpretation must begin with the plain language of the statute. *Robinson,* 519 U.S. at 340. Where the language is plain and unambiguous, the court must enforce the statute according to its plain meaning. *Caminetti v. United States*, 242 U.S. 470, 485 (1917). The plain meaning of § 503(b)(3)(D) indicates that substantial contribution expenses are not available in Chapter 7 cases because both the statute's language and context and the presumption that claims for administrative expenses be strictly construed confirm the narrow interpretation.

1. *Section 503(b)(3)(D)'s narrow language and context confirm that the plain meaning of the statute prohibits administrative expenses for substantial contributions in Chapter 7 proceedings*

Statutory language, its context in the sentence, and its context in the statute as a whole determine the plain meaning of the text. *Robinson*, 519 U.S. at 340. Moreover, when interpreting

statutory language, this Court "must presume that a legislature says in a statute what it means and means in a statute what it says there." *United States v. Ron Paid Enterprises, Inc.*, 489 U.S. 235, 241–42 (1989). Therefore, if the words of the statute are plain and unambiguous—as determined by the statutory language and context—the interpretation ends with the express language of the statute at issue. *See Rubin v. United States*, 449 U.S. 424, 430 (1981) ("When we find the terms of a statute unambiguous, judicial inquiry is complete.").

The *expressio unius est exclusion alterius* canon illustrates that the plain language meaning of § 503(b)(3)(D) limits administrative expenses for substantial contributions to only Chapters 9 and 11. *See In re Blount*, 276 B.R. 753, 763–64 (Bankr. M.D. La. 2002) (acknowledging that § 503(b)(3)(D) is "expressly limited" to cases under Chapters 9 or 11). The *expressio unius* canon states that the expression of "one item of [an] associated group or series excludes another left unmentioned." *Chevron U.S.A. Inc. v. Echazabal*, 536 U.S. 73, 80 (2002) (quoting *United States v. Vonn*, 535 U.S. 55, 65 (2002)); *see also* Scalia & Garner, *supra*, 107 (defining the negative-implication, or *expressio unius*, canon as "the expression of one thing implies the exclusion of others"). For example, suppose in a zoo that houses bears, tigers, lions and giraffes. In the zoo, there is a sign that states: "The giraffe is sick." *Echazabel*, 536 U.S. at 80. Using the *expressio unius* canon, there is a negative implication that all the other animals are healthy because the sign did not list the other animals as being sick. *Id.* Similarly, § 503(b)(3)(D) allows administrative expenses for creditors who made "a substantial contribution in a case under [C]hapter 9 or 11." 11 U.S.C. § 503(b)(3)(D). Applying the *expressio unius* canon to § 503(b)(3)(D), the expression of "[C]hapters 9 and 11" in the statutory language implies that creditors may not recover substantial contribution claims in a Chapter 7 case. *See United Educ. & Software v. Kupetz* (*In re United Educ. & Software)*, No. CC-05-1067-MaMeP, 2005 WL

6960237, at *7 (9th Cir. BAP Oct. 7, 2005). Otherwise, Congress would have listed Chapter 7 in the statutory language just as the zookeeper would have listed other animals on the sign had they been sick; however, Congress did not do so.

Similarly, Congress knew how to create a substantial contribution administrative expense claim for Chapter 7, but instead, it chose not to do so. *See In re Hackney*, 351 B.R. 179, 202 (Bankr. N.D. Ala. 2006). When Congress "includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that Congress [acted] intentionally." *Russello v. United States*, 464 U.S. 16, 23 (1983). Both Chapters 7 and 13 were in existence when Congress enacted § 503(b)(3)(D), yet Congress did not write those chapters into the subsection. *In re Peterson*, 152 B.R. at 613–14. Congress could have easily written that substantial contributions in Chapters 9, 11, *and 7* are allowable. However, Congress intentionally chose not to include Chapter 7 in the written terms of § 503(b)(3)(D). Therefore, the Court must presume that Congress acted intentionally to omit Chapter 7 from the plain language of § 503(b)(3)(D).

The Thirteenth Circuit, as well as a minority of other circuits, incorrectly relied on the definition of the word "including" in § 503(b) to overcome the express limitation in § 503(b)(3)(D). *See Mediofactoring v. McDermott* (*In re Connolly North America, LLC*), 802 F.3d 810, 816 (6th Cir. 2015) (reasoning that the presence of the word "including" in § 503(b) encourages an expansive reading because it means that the list is non-exhaustive). This was an incorrect plain meaning interpretation for two reasons: 1) the five examples listed under § 503(b)(3) are an exhaustive list and 2) the presence of the word "including" in § 503(b)(1) when compared to its absence in § 503(b)(3) implies that the use of the word "including" at the beginning of § 503(b) is not enough to make the § 506(b)(3) non-exhaustive.

First, § 503(b)(3)(D) creates an exhaustive list limited solely to the examples provided. When a statute sets forth a series of items in a general rule but excludes the term "including," the general/specific canon applies under which a court infers that the more specific statute governs the more general section when both address the same subject matter. *See Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992). Looking at the structure of § 503, § 503(b) states the general rule about administrative expenses and uses the word "including." However, § 503(b)(3) does not use the word "including" to begin its list. Instead, it states six exclusive options where courts can award designated people the actual and necessary expenses, provided those expenses were incurred in one of the six statutorily mandated ways. *See In re Blount*, 205 B.R. at 763 ("[T]he language of the specifically enumerated provisions [such as § 503(b)(3)] establishes that certain possible avenues for reimbursement are precluded by those that are included."). Further, § 503(b)(3) is a specific subsection addressing the particularities of when the actual and necessary expenses may be awarded, which for § 503(b)(3)(D) is only for substantial contributions in a Chapter 9 or 11 proceeding. Using the general/specific canon, this specific subsection governs over the more general disposition in § 503(b) to make the list in § 503(b)(3) an exhaustive list. *See In re United Educ. & Software*, 2005 WL 690237 at *7. Therefore, if the plain meaning interpretation of § 503(b)(3) is that it is a specific subsection governing the more general terms in § 503(b), then the word "including" in § 503(b) cannot overcome the specific disposition.

Second, the presence of the word "including" in § 503(b)(1), combined with its absence in § 503(b)(3), shows that Congress did not intend for the word "including" in § 503(b) to apply to every line of the statute. *See Connolly*, 802 F.3d at 824 (O'Malley, J. dissenting). In subsection 503(b)(1), the Code permits administrative expenses for "the actual, necessary costs

and expenses of preserving the estate *including* . . .” 11 U.S.C. § 503(b)(1) (emphasis added). That subsection goes on to list two examples of types of costs that the court can award for preserving the estate. Section 501(b)(1) is the only subsection in the entirety of § 503(b) that uses the word “including” to introduce another list. Every other subsection—including § 503(b)(3)—merely introduces an exhaustive list of examples. The presence of the word “including” in § 503(b)(1) shows that Congress knew how to create a non-exhaustive list under the general umbrella of § 503(b). That means Congress chose not to use the word “including” in subsection § 503(b)(3). Further, it suggests that Congress did not believe that the word “including” in the first line of § 503(b) was sufficient to make the entire section a non-exhaustive list. Had Congress believed that the word “including” in § 503(b) was enough to make the entire section non-exhaustive, Congress would have never felt the need to repeat the word in § 503(b)(1) to create another non-exhaustive list. *See Connolly*, 802 F.3d at 824 (O’Malley, J. dissenting) (“That Congress used “including language in some provisions . . . but not others, is meaningful.”). Therefore, because Congress intentionally repeated the word “including” in § 503(b)(1) while failing to do so in § 503(b)(3), Congress could not have intended “including” in § 503(b) to apply to the statute as a whole, thus making § 503(b)(3) an *exhaustive* list.

Further, to hold that the non-exhaustive nature of § 503(b) allows administrative expenses for substantial contributions in Chapter 7 cases would violate another fundamental statutory interpretation principle by rendering the statutory language of § 503(b)(3)(D) superfluous. *In re Hackney*, 351 B.R. at 202. The surplusage canon states that it is the courts’ duty “to give effect . . . to every clause and word of a statute.” *Duncan v. Walker*, 533 U.S. 167, 174 (2001). Statutory language “cannot be meaningless, else [it] would not have been used.” *United States v. Butler*, 297 U.S. 1, 65 (1936). Thus, the canon against surplusage is the

"strongest when an interpretation would render superfluous another part of the same statutory scheme." *United States v. Jicarilla Apache Nation*, 564 U.S. 162, 185 (2011). If this Court interpreted the language of § 503(b)(3)(D) to apply to more than just Chapters 9 and 11, it would render the entire phrase superfluous. If courts consider substantial contributions in a Chapter 7 case administrative expenses because of the broad term "including" in §503(b), then the language limiting these types of expenses to Chapters 9 and 11 is no longer. *See Connolly*, 802 F.3d at 821 (O'Malley, J. dissenting). The phrase "under [C]hapters 9 and 11 of this title" would become merely "excess verbiage" and thus the Court would no longer be giving meaning to every word and clause of the statute. *See In re Peterson*, 152 B.R. at 614.

Therefore, this Court should avoid an improperly broad interpretation of § 503(b) and find that substantial contributions in Chapter 7 proceedings are not administrative expenses to be consistent with the statute's language and context as well as preventing the statutory language from being reduced to mere surplusage.

2. *The Court must strictly construe claims for administrative expenses, thus the plain language of § 503(b)(3)(D) requires a narrow interpretation excluding substantial contribution claims in Chapter 7 cases*

In the § 503 context, claims for administrative expenses are often subject to strict scrutiny. *See In re United Container LLC*, 305 B.R. 120, 126 (Bankr. M.D. Fla. 2003); *see also In re Concrete Prods., Inc.*, 208 B.R. 1000, 1006 (Bankr. S.D. Ga. 1996) ("[I]f the claim does not derive from the language of Section 503, it must fail."). This high standard results from the overarching presumption that courts must strictly construe administrative expenses to preserve as much of the estate as possible to ensure equality of distributions. *See* 4 COLLIER ON BANKRUPTCY ¶ 503.06 (16th ed. 2017). Courts must construe § 503(b) claims narrowly because "administrative claims are paid directly from the bankruptcy estate [which reduces] the funds

available for creditors and other claimants." *In re United Educ. & Software*, 2005 WL 6960237 at *4; *see also City of White Plains v. A & S Galleria Real Estate, Inc.* (*In re Federated Dep't Stores, Inc.*), 270 F.3d 994, 1000 (6th Cir. 2001). Additionally, courts have held that "[w]hen a subsection directly addresses the type of administrative expense sought, the restrictions in it cannot be avoided by appealing to the non-exclusive nature of § 503(b)." *In re Engler*, 500 B.R. at 174; *see also In re Elder*, 321 B.R. 820, 829 (E.D. Va. 2005).

When considering both the narrow language and proper application of the presumption of strictly construing administrative expense claim, the proper interpretation of § 503(b)(3)(D) is that the narrow language of the subsection means what it says—that courts must limit administrative expenses for substantial contributions to Chapters 9 and 11. *See In re Fontainbleu Las Vegas Holdings, LLC*, 574 B.R. 895, 903 (Bankr. S.D. Fla. 2017). Otherwise, Congress would not have explicitly listed the chapters in which the court can grant administrative expenses. It would have simply stated that creditors who made a substantial contribution to *any* bankruptcy proceeding could recover an administrative. Because Congress did not use that language, the presumption of strictly construing administrative expenses prohibits an expansive reading of § 503(b)(3)(D). Instead of strictly construing § 503(b), as required under the presumption, the Thirteenth Circuit incorrectly interpreted the statutory language broadly by concluding that the term "including" makes the entire statute non-exhaustive, thus allowing the court to grant substantial contribution claims in Chapter 7 cases. *See generally Connolly*, 802 F.3d at 820 (O'Malley, J. dissenting). By reading this language so broadly, the court did not properly apply the presumption of strictly construing administrative expense claims. This broad interpretation violates the presumption of strictly construing administrative expense claims as

well as unfairly diminishes the bankruptcy estate and the funds available to the remaining creditors. *See In re United Container LLC*, 305 B.R. at 126.

Thus, the plain meaning interpretation of § 503(b)(3)(D) conclusively establishes that courts may not grant substantial contributions administrative expenses in Chapter 7 because the statutory language expressly limits substantial contribution claims to Chapters 9 and 11 only.

B. Even if the Court finds that the statutory language is ambiguous, the legislative history and the statute's purpose confirm that Congress intentionally limited § 503(b)(3)(D) to Chapters 9 and 11 only

Where the statutory language is ambiguous, the court may properly use legislative history to ascertain congressional intent. *United States v. Pub. Utils. Comm'n of Cal.*, 345 U.S. 295, 315 (1953). The legislative history helps courts determine both the proper interpretation and purpose of ambiguous statutes. *See Flora v. United States*, 362 U.S. 145, 151 (1960). Further, the purpose of the statute is a strong factor in determining congressional intent about the meaning of the statute. *See Congress of Indus. Org.*, 335 U.S. at 112–13.

As previously demonstrated, the language of § 503(b)(3)(D) plainly does not permit administrative expenses for substantial contribution in a Chapter 7 proceeding. However, if this Court finds the language to be ambiguous, the legislative history, the statute's purpose, and the policies of the Bankruptcy Code all confirm § 503(b)(3)(D)'s limited scope.

1. *The legislative history of § 503(b) confirms that Congress intended to limit § 503(b)(3)(D)'s scope*

Legislative history is important in construing a statute, and the Court may examine it to ascertain the Congressional intent as to the ultimate purpose of a statute. *N.L.R.B. v. Bell Aerospace Co. Div. of Textron, Inc.*, 416 U.S. 267, 273 (1974); *United States v. Wise*, 370 U.S. 405, 414 (1962). In fact, the legislative history of a statute is frequently "the most fruitful source of instruction" when determining the proper interpretation of a statute. *Flora*, 362 U.S. at 151.

What little legislative history that exists for § 503(b)(3)(D) suggests that Congress intended to limit its scope. *See Connolly*, 802 F.3d at 821 (O'Malley, J. dissenting); *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 945 (3d Cir. 1994); *In re United Educ. & Software*, 2005 WL 6960237 at *5 ("[T]he legislative history of § 503(b)(3)(D) indicates that it was meant to reimburse those efforts that directly benefitted the *reorganization* process.") (emphasis added). Senate Bill 236, one of the earlier versions of the Bankruptcy Act, provided that administrative expenses are allowed for "compensation for services, representing a substantial contribution" or an "expense, representing a substantial contribution" in Chapter 9 and 11 proceedings. S. 236, 94th Cong. § 4-403(a)(8)–(9) (1975). Two years later, House Bill 6—which adopted the modern-day structure of § 503(b)—continued to describe substantial contributions as administrative expenses that only apply to Chapters 9 and 11. H.R. 6, 95th Cong. (1977). Importantly, Chapter 7 was in existence at the time Congress enacted both Senate Bill 236 and House Bill 6. Thus, Congress's decision to specify Chapters 9 and 11 while omitting Chapter 7 even in the earliest drafts of the Bankruptcy Act demonstrate that Congress did not intend for § 503(b)(3)(D) to cover substantial contributions in Chapter 7 proceedings. *See Connolly*, 802 F.3d at 821.

2. *The dual objectives of § 503(b)(3)(D) support a narrow interpretation excluding substantial contributions in Chapter 7 proceedings*

When the statutory language is ambiguous, the Court's task is to interpret the words of statutes in light of the purposes Congress sought to serve. *Chapman v. Houston Welfare Rights Org.*, 441 U.S. 600, 608 (1979). Moreover, the purpose of Congress can be a "dominant factor" in determining the meaning of the statute at issue. *Congress of Indus. Orgs*, 335 U.S. at 113.

One of the primary purposes underpinning § 503(b)(3)(D)'s award of compensation for substantial participation is "to promote meaningful creditor participation in the reorganization process." *In re Richton Intern. Corp.*, 15 B.R. 854, 855–56 (Bankr. S.D.N.Y. 1981). The

rationale is that services which substantially contribute to a Chapter 9 or 11 proceeding are enhancing the progress of reorganization. *In re Consol. Bancshares, Inc.*, 785 F.2d 1249, 1253 (5th Cir. 1986). Chapter 7 proceedings do not involve reorganization. Instead, it is a liquidation chapter in which the Trustee sells all non-exempt property to pay off the debtor's creditors. Because Chapter 7 does not involve any reorganization, one of the primary policy aims underpinning § 503(b)(3)(D) does not apply. While a creditor in a Chapter 7 proceeding may provide a substantial contribution, it would still not be meaningfully participating in the reorganization process because there is no reorganization process in a Chapter 7 proceeding. Therefore, interpreting § 503(b)(3)(D) to include substantial contribution administrative expenses for Chapter 7 proceedings would frustrate one of the Congress' primary purposes.

Additionally, § 503(b)(3)(D)'s duel objectives support an inference that Congress never intended the statute to apply to substantial contributions in Chapter 7 proceedings. *See Lebron*, 27 F.3d at 944. This subsection represents a balance between meaningful creditor participation in the reorganization process—as discussed above—and "keeping fees and administrative expenses at a minimum so as to preserve as much of the estate as possible for the creditors." *Id.* (citing *Otte v. United States*, 419 U.S. 43, 53 (1974)). When considered together, the dual objectives illustrate an overarching purpose of encouraging activities that will benefit the estate as a whole. *Id.* While this purpose may initially seem to support the grant of expenses regardless of chapter type because contributions benefit the estate, substantial contributions should be applied in a manner that excludes reimbursement for activities of creditors and other parties that unnecessarily depleting the bankruptcy estate.

If this Court were to grant substantial contributions in every type of bankruptcy proceeding, creditors would only be engaging because of an expectation of reimbursement from

the estate instead of the intended meaningful creditor participation in the reorganization process. *Id.* Moreover, by allowing any creditor in any chapter to exploit § 503(b)(3)(D) to enhance their own prospects by putting themselves further up the line of priority, the second objective of keeping fees and administrative expenses at a minimum would fail. *See In re Oxford Homes, Inc.*, 204 B.R. 264, 268 n.16 (Bankr. D. Me. 1997) ("Although the section is designed to encourage meaningful creditor participation . . . its substantial contribution requirements foster tight judicial oversight to maximize distributions to creditors."). More and more unsecured creditors would attempt to use this subsection as a ploy to enhance their own chances of recovering from the estate at the expense of the debtor's other unsecured creditors. Therefore, because an interpretation to permit substantial contributions in Chapter 7 proceedings would frustrate both dual objectives, the narrow interpretation limiting substantial contributions to Chapters 9 and 11 is the most appropriate in light of the statute's purpose.

3. *Allowing substantial contributions in Chapter 7 proceedings under § 503(b)(3)(D) is inconsistent with the policies of the Code*

While bankruptcy courts are courts of equity, the equitable nature of a bankruptcy proceeding "does not untether a bankruptcy court from the strictures of the Bankruptcy Code itself." *Connolly*, 802 F.3d at 820 (O'Malley, J. dissenting); *see also Norwest Bank Worthington v. Ahlers*, 485 U.S. 197 (1988). Furthermore, this Court explicitly held that the equitable power of a bankruptcy court "can only be exercised within the confines of the Bankruptcy Code." *Law v. Seigel*, 571 U.S. 415, 421 (2014) (reversing a bankruptcy court's unauthorized award of a surcharge because it "contravened a specific portion of the Code").

The Thirteenth Circuit mistakenly relied on the equitable nature of the bankruptcy proceeding to deviate from the confines set by the Bankruptcy Code in order to fashion a more "equitable" result. R. at 20. By reading § 503(b)(3)(D) broadly enough to include Chapter 7, the

Thirteenth Circuit impermissibly "untethered" itself from the language the Code which expressly limits substantial contribution claims to Chapters 9 and 11. *See In re Peterson*, 152 B.R. at 613–14; *Law*, 571 U.S. at 421. Thus, because the Bankruptcy Court's award of administrative expenses contradicted a specific portion of the Code—namely the express limitation in § 503(b)(3)(D)—the action is unauthorized. The proper interpretation confines the meaning within the express language of the code by prohibiting administrative expenses for substantial contributions in a Chapter 7 proceeding.

Moreover, to the extent that the equitable principles of the Bankruptcy Code apply, the equities cut equally in favor of enforcing the narrow interpretation of § 503(b)(3)(D). *Connolly*, 802 F.3d at 824 (O'Malley, J. dissenting). Courts should not only consider the equities involved with the creditor seeking the higher priority granted to administrative expenses, it must consider the equities to all the creditors. Though Weinberg's actions indisputably benefited the estate, he is not the only creditor trying to recover from the debtor. If this Court grants administrative expense status to Weinberg—who already retained control through repossession of the debtor's largest asset—the depletion of the bankruptcy estate will harm the remaining creditors. The administrative expense would effectively punish those other unsecured creditors by reducing the amount of the bankruptcy estate that those creditors would otherwise receive during the equitable distribution phase. Further, because this occurred in a Chapter 7, there is no opportunity for reorganization for the creditors to get a better return on their claims. This unfair result to Backstreets' otherwise innocent creditors further supports a narrow interpretation of disallowing these types of expenses in a Chapter 7 proceeding.

In fact, preventing courts from awarding creditors like Weinberg administrative expenses for substantial contributions in Chapter 7 cases is the fair and equitable result because there are

provisions of § 503 other than § 503(b)(3)(D) that authorize reimbursement of expenses regarding the recovery of any property transferred or concealed by the debtor for the benefit of the estate. *Xifaras v. Morad* (*In re Morad)*, 328 B.R. 264, 273 (B.A.P. 5th Cir. 2005). The proper way for Weinberg to receive an administrative expense for his assistance in uncovering the fraudulent transfers is under § 503(b)(3)(B). Under that subsection, courts award administrative expense claims irrespective of the type of proceeding if they "recover[], *after the court's approval*, for the benefit of the estate any property transferred or concealed by the debtor." 11 U.S.C. § 503(b)(1)(B) (emphasis added). Had Weinberg petitioned the court and received approval, he would have been able to receive his administrative expense, but he did not.

While this result may seem overly harsh for a person whose services unquestionably benefited the estate as a whole, the Bankruptcy Code is no stranger to harsh results. *See, e.g.*, *In re Hayes*, 327 B.R. 453, 459–60 (Bankr. C.D. Cal. 2005) (barring a creditor's untimely filed proof of claim when the debtor received notice of the deadline and acted without reasonable diligence). The prospect of harsh results should not govern all other considerations, especially where, like here, the creditor ignored the proper way to receive compensation by failing to seek court approval. Therefore, preventing creditors from being awarded administrative expenses for substantial contributions in Chapter 7 proceedings is fair because there are other provisions that permit this type of administrative expense and because it incentivizes creditors to seek their administrative expenses in the manner that the Code proscribes.

Lastly, this Court should not rewrite § 503(b)(3)(D) in an attempt to address any misplaced concerns stemming from the plain meaning interpretation. It is the duty of Congress, not the courts, to address any difficulties or inequities that may arise from the application of the plain meaning of a statute. *Taylor v. Freeland & Kronz*, 503 U.S. 638, 644–45 (1992). No matter

how inequitable the results of the application of the plain meaning of the statute may seem, courts have the duty to enforce the law as written while leaving any attempts at reconstruction or amendment to Congress. *Id.* Further, the Thirteenth Circuit's ruling will have vast unintended consequences beyond § 503(b)(3)(D). By effectively re-writing the statute based around the word "including", administrative expenses would no longer be subject to any restrictions because the entirety of the statute would be considered non-exhaustive. R. at 31. As shown above in subsections 1 and 2, Congress could not have intended for that result. Therefore, the best interpretation is the narrow language of the statute preventing administrative expenses for substantial contributions in Chapter 7 cases while still leaving Congress the room to intervene to address any perceived inequities that may arise from the result of the statute's plain meaning.

In sum, this Court should reverse the Thirteenth Circuit's holding that courts may grant administrative expenses for substantial contributions in Chapter 7 proceedings because the legislative history, the statute's purpose, and the policies of the Bankruptcy Code confirm that Congress intentionally limited the scope of § 503(b)(3)(D).

CONCLUSION

Therefore, this court should reverse the Thirteenth Circuit's holding and find that a creditor's post-petition retention of property of the estate violates the automatic stay and that bankruptcy courts may not grant administrative expenses for substantial contributions in Chapter 7 proceedings.

APPENDIX A: Selected Sections from Title 11 of the U.S. Code

§ 362. Automatic Stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) the commencement or continuation, including the issuance or employment of process of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title; or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4) any act to create, perfect, or enforce any lien against property of the estate;

(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

(b) The filing of a petition under section 301, 302, or 303 of this title, or of an application under section 5(a)(3) of the Securities Investor Protection Act of 1970 does not operate as a stay—

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(3) under subsection (a) of this section, of any act to perfect, or to maintain or continue the perfection of, an interest in property to the extent that the trustee's rights and powers are subject to such perfection under section 546(b) of this title or to the extent that such act is accomplished within the period provided under section 547(e)(2)(A) of this title;

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(d) On request of a party in interest and after notice and a hearing, the court shall grant relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay—

(1) for cause, including the lack of adequate protection of an interest in property of such party in interest;

(2) with respect to a stay of an act against property under subsection (a) of this section, if—

(A) the debtor does not have an equity in such property; and

(B) such property is not necessary to an effective reorganization;

(3) with respect to a stay of an act against single asset real estate under subsection (a), by a creditor whose claim is secured by an interest in such real estate, unless, not later than the date that is 90 days after the entry of the order for relief (or such later date as the court may determine for cause by order entered within that 90-day period) or 30 days after the court determines that the debtor is subject to this paragraph, whichever is later—

(A) the debtor has filed a plan of reorganization that has a reasonable possibility of being confirmed within a reasonable time; or

(B) the debtor has commenced monthly payments that —

(i) may, in the debtor's sole discretion, notwithstanding section 363(c)(2), be made from rents or other income generated before, on, or after the date of the commencement of the case by or from the property to each creditor whose claim is secured by such real estate (other than a claim secured by a judgment lien or by an unmatured statutory lien); and

(ii) are in an amount equal to interest at the then applicable nondefault contract rate of interest on the value of the creditor's interest in the real estate; or

(4) with respect to a stay of an act against real property under subsection (a), by a creditor whose claim is secured by an interest in such real property, if the

court finds that the filing of the petition was part of a scheme to delay, hinder, or defraud creditors that involved either—

(A) transfer of all or part ownership of, or other interest in, such real property without the consent of the secured creditor or court approval; or

(B) multiple bankruptcy filings affecting such real property

If recorded in compliance with applicable State laws governing notices of interests or liens in real property, an order entered under paragraph (4) shall be binding in any other case under this title purporting to affect such real property filed not later than 2 years after the date of the entry of such order based upon changed circumstances or for good cause shown, after notice and a hearing. Any Federal, State, or local governmental unit that accepts notices of interests or liens in real property shall accept any certified copy of an order described in this subsection for indexing and recording

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(f) Upon request of a party in interest, the court, with or without a hearing, shall grant such relief from the stay provided under subsection (a) of this section as is necessary to prevent irreparable damage to the interest of an entity in property, if such interest will suffer such damage before there is an opportunity for notice and a hearing under subsection (d) or (e) of this section

§ 363. Use, sale, or lease of property

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

§ 503. Allowance of administrative expenses

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)(A) the actual, necessary costs and expenses of preserving the estate including—

(iii) wages, salaries, and commissions for services rendered after the commencement of the case; and

(iv) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax—

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) Attributable to an excessive allowance of a tentative carry back adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense

(2) compensation and reimbursement awarded under section 330(a) of this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee

appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(F) A member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28;

(7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred—

(A) in disposing of patient records in accordance with section 351; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business

§ 542. Turnover of property to the estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

APPENDIX B: Selected Federal Rules of Bankruptcy Procedure

Rule 7001. Scope of Rules of Part VII

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under § 554(b) or § 725 of the Code, Rule 2017, or Rule 6002;

(2) a proceeding to determine the validity, priority, or extent of a lien or other interest in property, but not a proceeding under Rule 3012 or Rule 4003(d);

(3) a proceeding to obtain approval under § 363(h) for the sale of both the interest of the estate and of a co-owner in property;

(4) a proceeding to object to or revoke a discharge, other than an objection to discharge under §§ 727(a)(8), (a)(9), or 1328(f);

(5) a proceeding to revoke an order of confirmation of a chapter 11, chapter 12, or chapter 13 plan;

(6) a proceeding to determine the dischargeability of a debt;

(7) a proceeding to obtain an injunction or other equitable relief, except when a chapter 9, chapter 11, chapter 12, or chapter 13 plan provides for the relief;

(8) a proceeding to subordinate any allowed claim or interest, except when a chapter 9, chapter 11, chapter 12, or chapter 13 plan provides for subordination

(9) a proceeding to obtain a declaratory judgment relating to any of the foregoing; or

(10) a proceeding to determine a claim or cause of action removed under 28 U.S.C. § 1452

Rule 7003. Commencement of Adversary Proceeding

Rule 3 F.R.Civ.P. applies in adversary proceedings

APPENDIX C: Selected Federal Rules of Civil Procedure

Rule 3. Commencing a Civil Action

A civil action is commenced by filing a complaint with the court.